Incentive on LED Lights and Components (₹ million)

Table 8

Segment	Year	PLI @	MINM. Cum. Incr. Investment	MINM. Incr. Sale	MINM. PLI	MINM. Cum. Incr. Investment	MINM. Incr. Sale	MINM. PLI
			LARGE INVESTMENT			NORMAL INVESTMENT		
LED Lights (Core Components)#	2021-22		1,000			200		
	2022-23	6%	1,500	6,000		400	1,200	
	2023-24	6%	2,000	9,000	360	600	2,400	70
	2024-25	5%	2,500	12,000	540	800	3,600	140
	2025-26	5%	3,000	15,000	600	1,000	4,800	180
	2026-27	4%		18,000	750		18,000	240
	2027-28				720			240
	Total		**3,000**	**60,000**	**2,970**	**1,000**	**18,000**	**880**
Components of LED Lights*	2021-22		50			20		
	2022-23	6%	100	300		40	120	
	2023-24	6%	150	600	20	60	240	10
	2024-25	5%	200	900	40	80	360	10
	2025-26	5%	250	1,200	50	100	480	20
	2026-27	4%		1,500	60		600	20
	2027-28				60			20
	Total		**250**	**4,500**	**220**	**100**	**1,800**	**90**

Figures are rounded off for easier readability.

has been earmarked for the MSME category," noted Prof. N.K. Goyal, Chairman Emeritus, TEMA.

Big names including Nokia and HFCL have shown interest in applying for this scheme. VVDN Technologies also noted that it was thinking of investing very big amounts in this scheme.

"With the 5G revolution set to kickstart in India, we will require new investments, software and hardware development. The PLI scheme will complement the 5G ecosystem. By the time we see an increment in demand, the telecom manufacturing sector will be ready with new products and innovations," Telecom Equipment and Services Export Promotion Council (TEPC) Chairman Sandeep Aggarwal had said earlier.

A total budgetary outlay of 121.95 billion rupees has been announced for the scheme. The year 2019-20 has been set as the base year of this scheme. The list of specified telecom and networking products under the scheme include core transmission equipment, 4G/5G, next-generation radio access network and wireless equipment, access and customer premises equipment, IoT access devices and other wireless equipment, enterprise equipment including switches and routers.

Prof. Goyal added, "TEMA is particularly happy that threshold limit for investment has been made quite reasonable at ₹10 crores (100 million) for MSME and ₹100 crores (1 billion) for non MSME. TEMA believes that the scheme will result in investment of ₹3,000 crores (30 billion) and increased production for ₹3 lac crores (3,000 billion)."

Solar photo-voltaic modules

Solar is slowly becoming the go-to-source of renewable and clean energy. Keeping the importance of solar power in focus, the government of India announced on 28th April this year the guidelines for solar modules PLI scheme. Announced by the Ministry of New & Renewable Energy (MNRE), the scheme entails a budgetary outlay of 45 billion rupees. It is worth noting here that the solar capacity addition at present depends largely upon imported solar PV cells and modules, as the domestic manufacturing industry has limited capacities of solar PV cells and modules.

The objectives of this policy include building solar PV manufacturing capacity of high-efficiency modules and bringing cutting-edge technology to India for manufacturing these modules, among others. The scheme was also formulated keeping in mind India's ambitious target of setting up 175,000MW capacity of renewable energy by 2022 and 450,000MW by 2030. To achieve the target, around 25,000MW solar energy capacity is needed to be installed every year, till 2030.

Investment Information and Credit Rating Agency of India (ICRA) noted that the PLI scheme along with imposition of BCD on imported modules and cells from April 2022 will improve the cost competitiveness of domestic manufacturers vis-a-vis imports. The scheme would support 21GW of module supplies from domestic original equipment manufacturers (OEMs) over a five-year period.

"The benefits available under the PLI scheme, along with the imposition of basic customs duty (BCD) on imported solar PV cells and imported solar PV modules, are likely to improve the cost competitiveness of domestic PV module manufacturers against imported modules by more than 10 percent at the prevailing imported module prices, under assumption of backward integration up to cells," ICRA said in a statement.

The selection of the beneficiaries, as MNRE informed, will be done by the bucket filling method, keeping in view the overall PLI limit of 45 billion rupees, and the PLI requirements quoted by the bidders. The bidder getting highest marks/inter se position will get PLI amount for five years as quoted by him followed by second bidder, and so on, till the PLI amount of 45 billion rupees is exhausted.

The criteria for the solar PLI scheme includes minimum integration across cells and modules, minimum manufacturing capacity requirement of 1GW, and a certain minimum level of module performance.

Air-conditioners and LED Lights

India is one of the largest consumers of LED lights in the world. Air-